UNITED STATES
SECURITIES AND EXCHANGE COMMISSION

WASHINGTON, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2022 Commission file number: 1-3579

PITNEY BOWES INC.

State of incorporation: **Delaware** I.R.S. Employer Identification No. **06-0495050**

Address: **3001 Summer Street, Stamford, Connecticut 06926**
Telephone Number: **(203) 356-5000**

Securities registered pursuant to Section 12(b) of the Act:

Title of Each Class	Trading Symbol(s)	Name of Each Exchange on Which Registered
Common Stock, $1 par value per share	PBI	New York Stock Exchange
6.7% Notes due 2043	PBI.PRB	New York Stock Exchange

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☑ No ☐

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act. Yes ☐ No ☑

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☑ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (section 232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files) Yes ☑ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See definition of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☐	Accelerated filer	☑	Non-accelerated filer	o
Smaller reporting company	☐	Emerging growth company	☐		

If an emerging growth company, indicate by check mark whether the registrant has elected not to use the extended transition period for complying with new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. Yes ☑ No ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Act). Yes ☐ No ☑

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to § 240.10D-1(b). ☐

As of June 30, 2022, the aggregate market value of the registrant's common stock held by non-affiliates of the registrant was $628 million based on the closing sale price as reported on the New York Stock Exchange. At January 31, 2023, there were 174,184,551 outstanding shares of common stock, $1 par value.

DOCUMENTS INCORPORATED BY REFERENCE

Portions of the registrant's proxy statement to be filed within 120 days after our fiscal year end in connection with the Annual Meeting of Stockholders, are incorporated by reference in Part III of this Form 10-K.

PITNEY BOWES INC.
CONSOLIDATED STATEMENTS OF INCOME (LOSS)
(In thousands, except per share amounts)

	Years Ended December 31,		
	2022	2021	2020
Revenue:			
Business services	**$ 2,249,941**	$ 2,334,674	$ 2,191,306
Support services	**438,191**	460,888	473,292
Financing	**274,508**	294,418	341,034
Equipment sales	**354,960**	350,138	314,882
Supplies	**154,186**	159,438	159,282
Rentals	**66,256**	74,005	74,279
Total revenue	**3,538,042**	3,673,561	3,554,075
Costs and expenses:			
Cost of business services	**1,934,206**	2,034,477	1,904,078
Cost of support services	**148,829**	149,706	149,988
Financing interest expense	**51,789**	47,059	48,162
Cost of equipment sales	**253,843**	251,914	235,153
Cost of supplies	**43,778**	43,980	41,679
Cost of rentals	**25,105**	24,427	25,600
Selling, general and administrative	**905,570**	924,163	963,323
Research and development	**43,657**	46,777	38,384
Restructuring charges	**18,715**	19,003	20,712
Goodwill impairment	**—**	—	198,169
Interest expense, net	**89,980**	96,886	105,753
Other components of net pension and postretirement cost (income)	**4,308**	1,010	(1,708)
Other (income) expense	**(21,618)**	41,574	8,151
Total costs and expenses	**3,498,162**	3,680,976	3,737,444
Income (loss) from continuing operations before income taxes	**39,880**	(7,415)	(183,369)
Provision (benefit) for income taxes	**2,940**	(10,922)	7,122
Income (loss) from continuing operations	**36,940**	3,507	(190,491)
(Loss) income from discontinued operations, net of tax	**—**	(4,858)	10,115
Net income (loss)	**$ 36,940**	$ (1,351)	$ (180,376)
Basic earnings (loss) per share attributable to common stockholders [1]:			
Continuing operations	**$ 0.21**	$ 0.02	$ (1.11)
Discontinued operations	**—**	(0.03)	0.06
Net income (loss)	**$ 0.21**	$ (0.01)	$ (1.05)
Diluted earnings (loss) per share attributable to common stockholders [1]:			
Continuing operations	**$ 0.21**	$ 0.02	$ (1.11)
Discontinued operations	**—**	(0.03)	0.06
Net income (loss)	**$ 0.21**	$ (0.01)	$ (1.05)

[1] The sum of the earnings per share amounts may not equal the totals due to rounding.

PITNEY BOWES INC.
CONSOLIDATED BALANCE SHEETS
(In thousands, except share amounts)

	December 31, 2022	December 31, 2021
ASSETS		
Current assets:		
Cash and cash equivalents	**$ 669,981**	$ 732,480
Short-term investments (includes $1,882 and $2,658, respectively, reported at fair value)	**11,172**	14,440
Accounts and other receivables (net of allowance of $5,864 and $29,179 respectively)	**343,557**	334,630
Short-term finance receivables	**564,972**	560,680
Inventories	**83,720**	78,588
Current income taxes	**8,790**	13,894
Other current assets and prepayments	**115,824**	157,341
Total current assets	**1,798,016**	1,892,053
Property, plant and equipment, net	**420,672**	429,162
Rental property and equipment, net	**27,487**	34,774
Long-term finance receivables (net of allowance of $10,555 and $13,406, respectively)	**627,124**	587,427
Goodwill	**1,066,951**	1,135,103
Intangible assets, net	**77,944**	132,442
Operating lease assets	**296,129**	208,428
Noncurrent income taxes	**46,613**	68,398
Other assets (includes $229,936 and $318,754, respectively, reported at fair value)	**380,419**	471,084
Total assets	**$ 4,741,355**	$ 4,958,871
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable and accrued liabilities	**$ 907,083**	$ 922,543
Customer deposits at the Bank	**628,072**	632,062
Current operating lease liabilities	**52,576**	40,299
Current portion of long-term debt	**32,764**	24,739
Advance billings	**105,207**	99,280
Current income taxes	**2,101**	9,017
Total current liabilities	**1,727,803**	1,727,940
Long-term debt	**2,172,502**	2,299,099
Deferred taxes on income	**263,131**	286,445
Tax uncertainties and other income tax liabilities	**23,841**	31,935
Noncurrent operating lease liabilities	**265,696**	192,092
Other noncurrent liabilities	**227,729**	308,728
Total liabilities	**4,680,702**	4,846,239
Commitments and contingencies (See Note 16)		
Stockholders' equity:		
Common stock, $1 par value (480,000,000 shares authorized; 323,337,912 shares issued)	**323,338**	323,338
Additional paid-in capital	**—**	2,485
Retained earnings	**5,125,677**	5,169,270
Accumulated other comprehensive loss	**(835,564)**	(780,312)
Treasury stock, at cost (149,307,325 and 148,606,517 shares, respectively)	**(4,552,798)**	(4,602,149)
Total stockholders' equity	**60,653**	112,632
Total liabilities and stockholders' equity	**$ 4,741,355**	$ 4,958,871

PITNEY BOWES INC.
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousands)

	Years Ended December 31,		
	2022	2021	2020
Cash flows from operating activities:			
Net income (loss)	**$ 36,940**	$ (1,351)	$ (180,376)
Loss (income) from discontinued operations, net of tax	**—**	4,858	(10,115)
Adjustments to reconcile net income (loss) to net cash provided by operating activities:			
Depreciation and amortization	**163,816**	162,859	160,625
Allowance for credit losses	**8,937**	7,808	42,193
Stock-based compensation	**16,629**	20,862	17,476
Amortization of debt fees	**8,674**	7,163	10,871
Loss on debt refinancing	**4,993**	56,209	36,987
Restructuring charges	**18,715**	19,003	20,712
Restructuring payments	**(15,406)**	(21,990)	(20,014)
Pension contributions and retiree medical payments	**(26,769)**	(27,534)	(31,828)
Gain on sale of businesses, including transaction costs	**(12,205)**	(10,201)	—
Gain on sale of PP&E	**(14,372)**	(1,434)	(21,969)
Goodwill impairment	**—**	—	198,169
Deferred taxes	**3,688**	(19,883)	15,280
Changes in operating assets and liabilities, net of acquisitions/divestitures:			
Accounts and other receivables	**(29,303)**	37,503	(47,236)
Finance receivables	**(12,591)**	20,934	70,505
Inventories	**(4,942)**	(8,008)	1,582
Other current assets and prepayments	**2,727**	(1,184)	(19,581)
Accounts payable and accrued liabilities	**18,577**	57,780	94,851
Current and noncurrent income taxes	**(14,464)**	2,971	8,622
Advance billings	**8,342**	(14,029)	11,009
Other, net	**13,997**	9,179	(17,879)
Net cash from operating activities: continuing operations	**175,983**	301,515	339,884
Net cash from operating activities: discontinued operations	**—**	—	(37,912)
Net cash from operating activities	**175,983**	301,515	301,972
Cash flows from investing activities:			
Capital expenditures	**(124,840)**	(184,042)	(104,987)
Purchases of investment securities	**(8,863)**	(74,923)	(596,841)
Proceeds from sales/maturities of investment securities	**28,724**	97,358	576,536
Net investment in loan receivables	**(53,114)**	(6,288)	(4,174)
Proceeds from sale of business, net of cash sold	**111,593**	27,573	—
Proceeds from sales of PP&E	**50,766**	1,840	58,248
Acquisitions, net of cash acquired	**(5,139)**	(14,996)	(6,608)
Settlement of derivative contracts	**(27,660)**	—	—
Other investing activities	**4,264**	—	4,636
Net cash from investing activities: continuing operations	**(24,269)**	(153,478)	(73,190)
Net cash from investing activities: discontinued operations	**—**	(1,773)	(2,502)
Net cash from investing activities	**(24,269)**	(155,251)	(75,692)
Cash flows from financing activities:			
Proceeds from the issuance of debt, net of discount	**—**	1,195,500	916,544
Principal payments of debt	**(124,101)**	(1,445,734)	(1,105,650)
Premiums and fees to refinance debt	**(8,535)**	(50,763)	(32,645)
Dividends paid to stockholders	**(34,718)**	(34,800)	(34,291)
Customer deposits at the Bank	**(3,990)**	14,862	26,082
Common stock repurchases	**(13,446)**	—	—
Other financing activities	**(13,293)**	(9,436)	(5,411)
Net cash from financing activities	**(198,083)**	(330,371)	(235,371)
Effect of exchange rate changes on cash and cash equivalents	**(16,130)**	(4,863)	6,099
Change in cash and cash equivalents	**(62,499)**	(188,970)	(2,992)
Cash and cash equivalents at beginning of period	**732,480**	921,450	924,442
Cash and cash equivalents at end of period	**669,981**	$ 732,480	$ 921,450

PITNEY BOWES INC.
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(In thousands)

	Common Stock	Additional Paid-in Capital	Retained earnings	Accumulated other comprehensive loss	Treasury stock	Total equity
Balance at December 31, 2019	$ 323,338	$ 98,748	$ 5,441,988	$ (840,143)	$ (4,734,777)	$ 289,154
Cumulative effect of accounting change	—	—	(21,900)	—	—	(21,900)
Net loss	—	—	(180,376)	—	—	(180,376)
Other comprehensive income	—	—	—	1,012	—	1,012
Dividends ($0.20 per share)	—	—	(34,291)	—	—	(34,291)
Issuance of common stock	—	(47,722)	—	—	47,268	(454)
Stock-based compensation	—	17,476	—	—	—	17,476
Balance at December 31, 2020	323,338	68,502	5,205,421	(839,131)	(4,687,509)	70,621
Net loss	—	—	(1,351)	—	—	(1,351)
Other comprehensive income	—	—	—	58,819	—	58,819
Dividends ($0.20 per share)	—	—	(34,800)	—	—	(34,800)
Issuance of common stock	—	(86,879)	—	—	85,360	(1,519)
Stock-based compensation	—	20,862	—	—	—	20,862
Balance at December 31, 2021	323,338	2,485	5,169,270	(780,312)	(4,602,149)	112,632
Net income	**—**	**—**	**36,940**	**—**	**—**	**36,940**
Other comprehensive loss	**—**	**—**	**—**	**(55,252)**	**—**	**(55,252)**
Dividends ($0.20 per share)	**—**	**—**	**(34,718)**	**—**	**—**	**(34,718)**
Issuance of common stock	**—**	**(19,114)**	**(45,815)**	**—**	**62,797**	**(2,132)**
Stock-based compensation	**—**	**16,629**	**—**	**—**	**—**	**16,629**
Repurchase of common stock	**—**	**—**	**—**	**—**	**(13,446)**	**(13,446)**
Balance at December 31, 2022	**$ 323,338**	**$ —**	**$ 5,125,677**	**$ (835,564)**	**$ (4,552,798)**	**$ 60,653**

8. Fixed Assets

Fixed assets consisted of the following:

	December 31,	
	2022	2021
Machinery and equipment	$ 673,898	$ 707,843
Other Assets	516,816	488,837
Leasehold improvements	127,357	126,456
	1,318,071	1,323,136
Accumulated depreciation	(897,399)	(893,974)
Property, plant and equipment, net	$ 420,672	$ 429,162

Depreciation expense was $140 million, $132 million and $127 million for the years ended December 31, 2022, 2021 and 2020, respectively.

9. Intangible Assets and Goodwill

Amortization expense was $24 million, $30 million and $33 million for the years ended December 31, 2022, 2021 and 2020, respectively.

Future amortization expense for intangible assets at December 31, 2022 is as follows:

2023	$ 15,724
2024	15,724
2025	15,520
2026	14,530
2027	11,475
Thereafter	4,971
Total	$ 77,944

11. Supplemental Financial Statement Information

Activity in the allowance for credit losses on accounts receivable is presented below.

	Balance at beginning of year	Cumulative effect of accounting change	Bad Debt expense	Write-offs	Balance at end of year
2022	$ 29,179	$ —	$ 6,421	$ (29,736)	$ 5,864
2021	$ 35,344	$ —	$ 9,355	$ (15,520)	$ 29,179
2020	$ 17,830	$ 15,336	$ 19,789	$ (17,611)	$ 35,344

Available-For-Sale Securities

Available-for-sale securities consisted of the following:

	December 31, 2022			
	Amortized cost	Gross unrealized gains	Gross unrealized losses	Estimated fair value
Government and related securities	$ 35,744	$ 11	$ (8,210)	$ 27,545
Corporate debt securities	66,300	—	(13,981)	52,319
Commingled fixed income securities	1,749	—	(229)	1,520
Mortgage-backed / asset-backed securities	156,352	—	(29,470)	126,882
Total	$ 260,145	$ 11	$ (51,890)	$ 208,266

	December 31, 2021			
	Amortized cost	Gross unrealized gains	Gross unrealized losses	Estimated fair value
Government and related securities	$ 36,160	$ 81	$ (1,012)	$ 35,229
Corporate debt securities	67,906	259	(2,998)	65,167
Commingled fixed income securities	1,725	—	(33)	1,692
Mortgage-backed / asset-backed securities	176,559	144	(4,685)	172,018
Total	$ 282,350	$ 484	$ (8,728)	$ 274,106

13. Debt

		December 31,	
	Interest rate	2022	2021
Notes due April 2023	6.20%	$ —	$ 90,259
Notes due March 2024	4.625%	236,749	242,603
Term loan due March 2026	SOFR + 2.0%	351,500	370,500
Notes due March 2027	6.875%	396,750	400,000
Term loan due March 2028	SOFR + 4.0%	442,125	446,625
Notes due March 2029	7.25%	350,000	350,000
Notes due January 2037	5.25%	35,841	35,841
Notes due March 2043	6.70%	425,000	425,000
Other debt		2,446	3,685
Principal amount		2,240,411	2,364,513
Less: unamortized costs, net		35,145	40,675
Total debt		2,205,266	2,323,838
Less: current portion long-term debt		32,764	24,739
Long-term debt		$ 2,172,502	$ 2,299,099

Annual maturities of outstanding principal at December 31, 2022 are as follows:

2023	$ 32,739
2024	280,956
2025	50,500
2026	244,500
2027	401,250
Thereafter	1,230,466
Total	$ 2,240,411